

Working Capital & Cash Flow

How efficiently do two energy-equipment firms (**Alpha Systems** and **Beta Energy**) turn operations into cash?

143 vs 34

days cash conversion cycle

Alpha ties up ~4x the days Beta does

36% vs 10%

net working capital / revenue

of every revenue dollar locked on the balance sheet

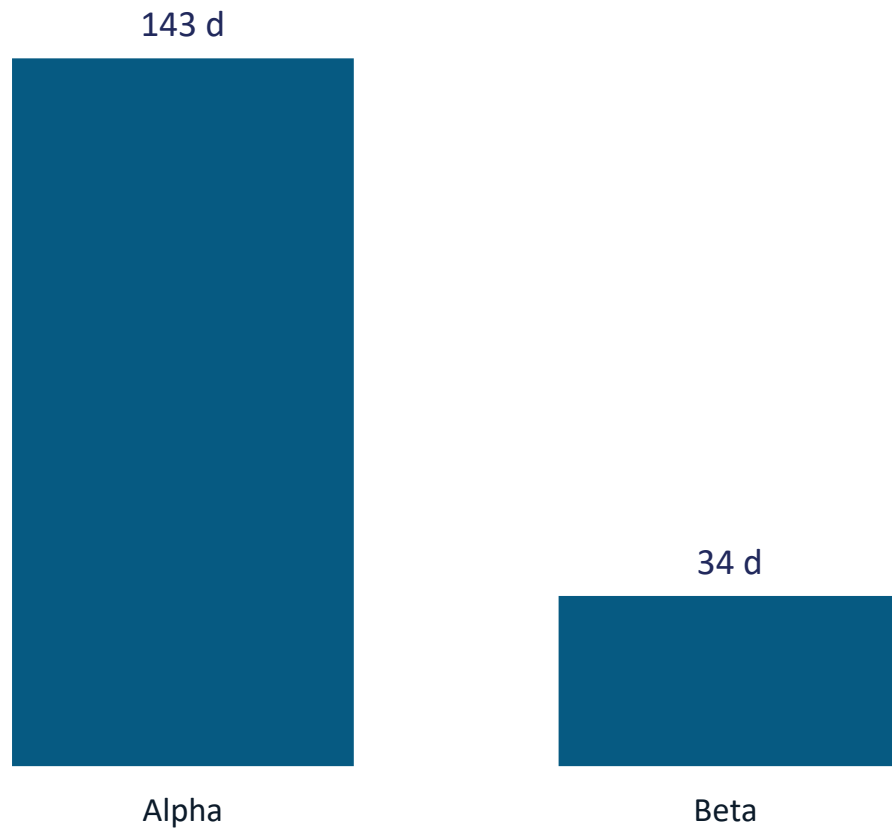
~\$470m

cash Alpha could release

≈ 12.9% of revenue, from three levers

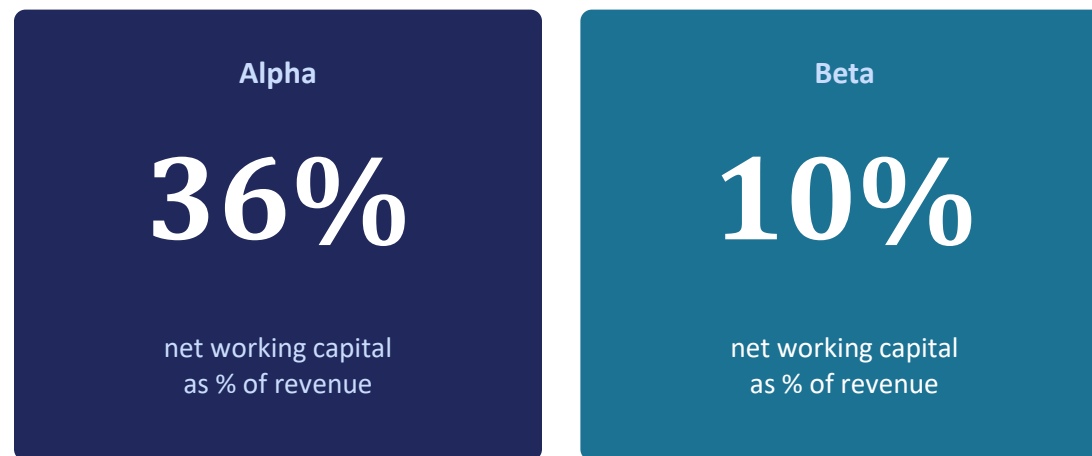
Alpha locks up far more cash than its peer

Cash conversion cycle, FY2023



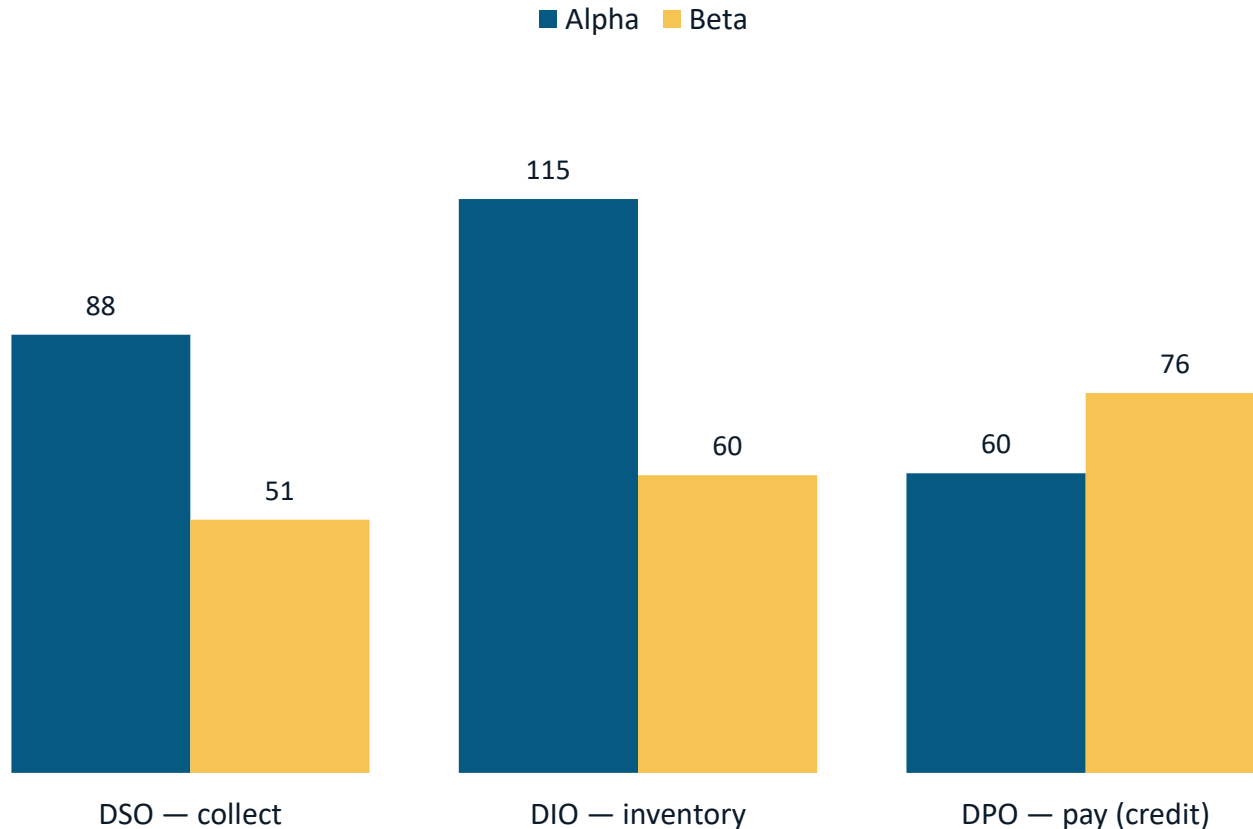
What the gap means

Alpha holds cash in its operating cycle for **~109 more days** than Beta. On Alpha's cost base that difference is worth hundreds of millions in cash that sit the balance sheet.



Where the cash is trapped: inventory and payables

Cash conversion cycle broken into its three drivers (days, FY2023)



- **Inventory is the main driver**

Alpha holds 115 days of stock vs 60 at Beta: profile of a capital-equipment maker carrying long-lead components and spares.

- **Weak supplier financing**

Alpha pays suppliers in 60 days; Beta stretches to ~6, effectively financing itself through its supply chain.

- **Slower collection too**

Alpha waits 88 days to collect from customers vs 51 at Beta: another chunk of cash sitting in receivables.

Three levers to release ~\$470m of cash

Illustrative, FY2023 basis

LEVER 1

Cut inventory days

\$200m

cash released

Move **DIO 115 → 90 days (buffer kept)**

Trade-off: consider by product line;
guard lead-time on long-cycle kit.

LEVER 2

Extend payables

\$90m

cash released

Move **DPO 60 → 72 days (toward peer's 76)**

Trade-off: consider supply-chain
finance to protect supplier
relationship

LEVER 3

Collect faster

\$180m

cash released

Move **DSO 88 → 70 days (toward peer's 51)**

Trade-off: a commercial-partnering
effort; guard key customer
relationships.

RECOMMENDATION

Working capital is Alpha's largest self-help cash lever. Closing even part of the gap to Beta frees roughly \$470m (13% of revenue) across all three cycle drivers. Inventory and receivables are the big prizes both partnering efforts with operations and commercial teams.